

Japan Semiconductors

Renesas Electronics Corp

Rating

Outperform

Price Target

6723.JP

6,300.00 JPY



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Renesas 2Q26: AI DC growth and industrial/auto inventory replenishment

Renesas delivered a solid beat and points to sequential growth acceleration driven by AI and inventory replenishment. Margin expansion is also in sight with higher utilization and price hike.

[Updated Renesas model download.](#)

2Q26 Results: Revenue reached ¥405bn, up 27.7% YoY and 9.8% QoQ on a comparable basis, excluding the divested timing business, and 4.5% above the midpoint of guidance. More than half of the beat came from FX, with the balance driven by stronger Automotive and Industrial/Infrastructure demand. **Profitability:** Gross margin was 58.1%, 110bp above guidance, helped roughly equally by FX, better mix, and lower-than-expected manufacturing costs, primarily less inventory valuation pressure. Operating margin was 32.7%, 370bp above guidance, with over half of the upside from lower-than-expected opex. GAAP profits included a financial gain related to Wolfspeed.

3Q26 guidance: Renesas guides 3Q26 Revenue midpoint of ¥430bn, +6.1% QoQ and 28.7% YoY; gross margin of 57.5%; operating margin of 32.5%. Auto and IIoT are expected to grow sequentially. The timing-business disposal gain will be recognized from 3Q26.

Margin expansion in sight with utilization and pricing. Renesas implemented selective price adjustments from July 1st. This is a targeted recovery of unavoidable cost increases, rather than broad shortage-driven price hikes. Management expects a modest benefit from 3Q26, and we see further price hike possible to expand margins. Despite this and higher utilization, 3Q26 gross margin is guided down 60bp QoQ: approximately +50bp from utilization is more than offset by roughly -100bp from summer utility/fuel and maintenance costs which will go away. Operating margin is guided down a modest 20bp QoQ as delayed spending resumes. We believe the margin guidance is conservative and expect further expansion of margins.

AI data center, including digital power and memory interface, stood out as an upside driver in IIoT. Data-center-related industrial demand in China was very strong, while Infrastructure demand exceeded expectations as **ASIC demand** ramped strongly alongside GPU-related business. Supply is very tight. For now, Renesas can only meet *(to be continued)*

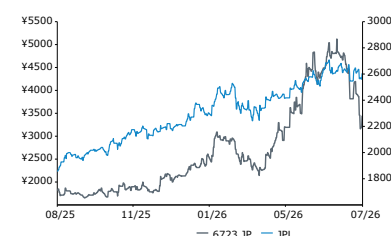
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
6723.JP (JPY)	181.61	261.36	302.64	Revenues (M)	1,318*	1,654*	1,914*	20.5%	Adjusted P/E (x)	19.0	13.2	11.4
OLD	--	244.76	298.54	EBIT (M)	386,842	547,449	646,190	29.2%	EV/EBIT (x)	18.7	13.2	11.2

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis. EBIT (M): Operating Profit in Billion; Revenues (M): Revenue in Billion

Close Date	31 Jul 2026
6723.JP Close Price (JPY)	3,442.00
Price Target (JPY)	6,300.00
Upside/(Downside)	83%
52-Week Range	5,284.00/1,656.50
JPL	2,603.61
FYE	Dec
Div Yield	0.8%
Market Cap (JPY) (B)	6,438.66
EV (JPY) (B)	7,226.45
Performance	YTD 1M 6M 12M
Absolute (%)	60.8 (32.8) 33.6 87.3
JPL (%)	18.0 (1.9) 10.3 38.2
Relative (%)	42.8 (30.9) 23.4 49.1

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



demand through incremental capacity expansion. The strongest contributors were data-center-related demand, Chinese industrial demand, and customers able to manage memory availability. **3Q26** IIoT is expected to continue growing sequentially. Industrial and infrastructure strength seen in 2Q26 should persist. IoT should rise only modestly because higher memory prices and shortages are beginning to constrain some end markets. AI/data-center demand remains the key company-wide growth engine.

Auto recovery with new products and inventory replenishment. Auto beat guidance in 2Q26, supported by better-than-expected end demand. Strength reflected the ramp of Gen 4 R-Car in Japan, customer/channel restocking after inventories had fallen too low, and stronger conditions across Japan, China, and Europe. **3Q26** Management expects sequential growth. The growth drivers are new 28nm MCUs in China, Gen 4 R-Car ramp in Japan, and further channel replenishment, particularly in Japan. Underlying auto end demand as broadly flat QoQ. Management views Auto as a relatively steady growth business through year-end rather than one experiencing a sharp cyclical recovery. The company expects moderate positive growth vs. last year, supported by product ramps and regional/customer mix. Renesas sees neither a major acceleration nor a renewed downturn in its base case. **By region**, Japan and China appear to be the most consistent growth regions. Europe remains more uncertain. The US is expected to be broadly stable rather than a major growth contributor.

Model Update. We revised up 2026E-28E revenue by 4-6% to reflect a stronger auto and AI outlook as well as additional supply coming online. We expect Renesas to gradually hike price in 2H26 to offset the higher costs. Net-net, we revised up EPS by 1-7% in 2026E-2028E. Our TP stays at **¥6,300.00**, implying 19X Q5-Q8 EPS. Reiterate **Outperform**.

Investment Implications

We rate Renesas Outperform (PT ¥6,300.00).

DETAILS

Results & Guidance:

Renesas reported a strong 2Q26, with both Auto and IIoT outperforming guidance, and guided to further sequential growth in 3Q26. The key positive is the broad-based strength in demand, particularly for AI and data-center infrastructure, while the principal execution risks are tight supply conditions and the post-earthquake recovery at its Kumamoto operations.

- **2Q26 Results: Revenue** reached ¥405bn, up 7.78% YoY and 9.8% QoQ on a comparable basis, excluding the divested timing business, and 4.5% above the midpoint of guidance. More than half of the beat came from FX, with the balance driven by stronger Automotive and Industrial/Infrastructure demand. **Profitability:** Gross margin was 58.1%, 110bp above guidance, helped roughly equally by FX, better mix, and lower-than-expected manufacturing costs, primarily less inventory valuation pressure. Operating margin was 32.7%, 370bp above guidance, with over half of the upside from lower-than-expected opex. GAAP profits included a financial gain related to Wolfspeed.
- **3Q26 guidance:** Renesas guides 3Q26 Revenue midpoint of ¥430bn, up 6.1% QoQ and 28.7% YoY, with gross margin of 57.5% and operating margin of 32.5%. Both Auto and IIoT are expected to grow sequentially. The timing-business disposal gain will be recognized from 3Q26.

Margin expansion in sight with utilization and pricing:

Renesas implemented selective price adjustments from July 1st. This is a targeted recovery of unavoidable cost increases, rather than broad shortage-driven price hikes. Management expects a modest benefit from 3Q26, and we see further price hike possible to expand margins. Despite this and higher utilization, 3Q26 gross margin is guided down 60bp QoQ: approximately +50bp from utilization is more than offset by roughly -100bp from summer utility/fuel and maintenance costs which will go away. Operating margin is guided down a modest 20bp QoQ as delayed spending resumes. We believe the margin guidance is conservative and expect further expansion of margins.

Segmental Update - AI demand strong, auto/industrial inventory replenishment:

- **AI data center, including digital power and memory interface, stood out as an upside driver in IIoT.** Data-center-related industrial demand in China was very strong, while Infrastructure demand exceeded expectations as **ASIC demand** ramped strongly alongside GPU-related business. Supply is very tight. For now, Renesas can only meet demand through incremental capacity expansion. The strongest contributors were data-center-related demand, Chinese industrial demand, and customers able to manage memory availability. **3Q26** IIoT is expected to continue growing sequentially. Industrial and infrastructure strength seen in 2Q26 should persist. IoT should rise only modestly because higher memory prices and shortages are beginning to constrain some end markets. AI/data-center demand remains the key company-wide growth engine.
- **Auto recovery with new products and inventory replenishment.** Auto beat guidance in 2Q26, supported by better-than-expected end demand. Strength reflected the ramp of Gen 4 R-Car in Japan, customer/channel restocking after inventories had fallen too low, and stronger conditions across Japan, China, and Europe. **3Q26** Management expects sequential growth. The growth drivers are new 28nm MCUs in China, Gen 4 R-Car ramp in Japan, and further channel replenishment, particularly in Japan. Underlying auto end demand as broadly flat QoQ. Management views Auto as a relatively steady growth business through year-end rather than one experiencing a sharp cyclical recovery. The company expects moderate positive growth vs. last year, supported by product ramps and regional/customer mix. Renesas sees neither a major acceleration nor a renewed downturn in its base case. **By region,** Japan and China appear to be the most consistent growth regions. Europe remains more uncertain. The US is expected to be broadly stable rather than a major growth contributor.

Other Key Takeaways:

- **Utilization:** Internal fab utilization reached 58% in **2Q26**, modestly ahead of plan, and is expected to rise slightly again in **3Q26**. Management expects further gradual improvement through 4Q26, supporting gross margins, although not enough to fully offset near-term cost inflation.
- **Capacity / supply:** Renesas is expanding production capacity and wafer inputs, while increasing die-bank inventory. Supply remains very tight in data-center products. Current expansion is incremental, but management expects a more meaningful

“step-function” capacity increase from early 2027.

- **Manufacturing footprint:** Renesas will gradually end production at the Takasaki 6-inch fab because the aging line and equipment support are becoming uneconomic and operationally risky. Products will migrate to 8-inch-or-larger processes. Local R&D is intended to continue and expand.
- **Inventory:** Internal inventory increased, mainly WIP, owing to greater fab input and seasonal mobile build. Channel inventory also increased in absolute terms, but weeks of inventory fell because sell-through was stronger than expected. Renesas intends to keep replenishing inventory in both Auto and IoT.
- **Earthquake:** The Kumamoto earthquake impact is currently expected to be limited. Nishiki backend has resumed full production; Kawajiri frontend, representing roughly 13% of company revenue, is scheduled to restart production on August 5th, with full normalization targeted around three weeks thereafter. Existing die-bank inventory should limit direct revenue disruption, though customer supply-chain interruptions, particularly in autos, remain a variable to monitor.

EXHIBIT 1: Renesas Q2: Results Summary

Renesas Q2 2026 results			Growth YoY					
JPY billion			Q2 2026	vs. Bernstein	vs. Guidance	vs. Cons.	Actual	Cons.
Revenue	Actual	405.3	4.0%	4.5%	2.9%	24.8%	21.3%	
	Guidance	388.0						
	Bernstein	389.7						
	Consensus	393.7						
Gross profit	Actual	235.3	5.5%	6.4%	2.8%	27.6%	24.1%	
	Guidance	221.2						
	Bernstein	223.0						
	Consensus	228.9						
Gross margin	Actual	58.1%	0.8%	1.1%	-0.1%	1.3%	1.3%	
	Guidance	57.0%						
	Bernstein	57.2%						
	Consensus	58.1%						
Operating profit	Actual	132.7	15.2%	18.0%	8.3%	44.5%	33.4%	
	Guidance	112.5						
	Bernstein	115.2						
	Consensus	122.5						
Operating margin	Actual	32.7%	3.2%	3.7%	1.6%	4.5%	2.8%	
	Guidance	29.0%						
	Bernstein	29.6%						
	Consensus	31.1%						
Net profit	Actual	113.3	7.9%		7.4%	45.6%	35.6%	
	Bernstein	105.0						
	Consensus	105.5						
Earnings per share	Actual	62.1	7.3%		8.2%	44.3%	33.4%	
	Bernstein	57.9						
	Consensus	57.5						

Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 2: Renesas Q2: Results Breakdown

<u>Q2 Results Breakdown</u>	Actual Q2 2026	Growth YoY	Bernstein Q2 2026	Delta	Consensus Q2 2026	Delta
Total revenue	405.3	24.8%	374.0	8.4%	393.7	2.9%
Automotive	187.1	15.9%	180.0	3.9%	180.8	3.5%
Industrial, Infrastructure, IoT	216.3	40.0%	208.1	4.0%	212.0	2.0%
Others	1.9	-78.6%	1.6		1.1	
Total non-GAAP operating profit	132.7	44.5%	120.7	9.9%	122.5	8.3%
Automotive	64.4	71.1%	57.6	11.8%	59.3	8.6%
Industrial, Infrastructure, IoT	69.0	80.2%	57.2	20.6%	62.5	10.3%
Others	(0.6)	-104.0%	0.4		0.6	

Source: Company reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 3: Renesas: Summary of 3Q26 Management Guidance

Q3 2026 Guidance Breakdown	Guidance	Bernstein		Consensus	
JPY Billion	Q3 2026	Q3 2026	Delta	Q3 2026	Delta
Revenue	430.0	401.1	7.2%	407.7	5.5%
Gross profit margin	57.5%	57.7%	-0.2%	57.7%	-0.2%
Operating profit margin	32.5%	31.5%	1.0%	31.9%	0.6%
FX					
USDJPY	159.0				
EURJPY	184.0				

Source: Company reports, Bloomberg, Bernstein estimates and analysis.

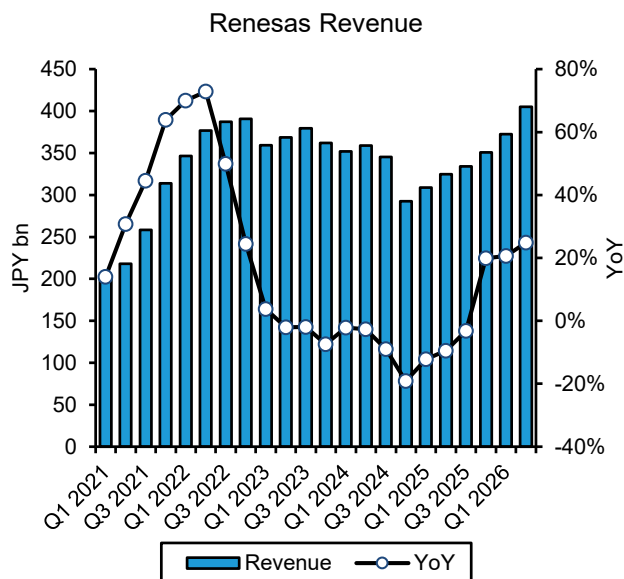
Model revisions:

- We revised up 2026E-28E revenue by 4-6% to reflect a stronger auto and AI outlook as well as additional supply coming online. We expect Renesas to gradually hike price in 2H26 to offset the higher costs. Net-net, we revised up EPS by 1-7% in 2026E-2028E.
- Our TP stays at **¥6,300.00**, implying 19X Q5-Q8 EPS. We reiterate our **Outperform** rating on the stock.
- Our updated model for Renesas can be found [here](#).

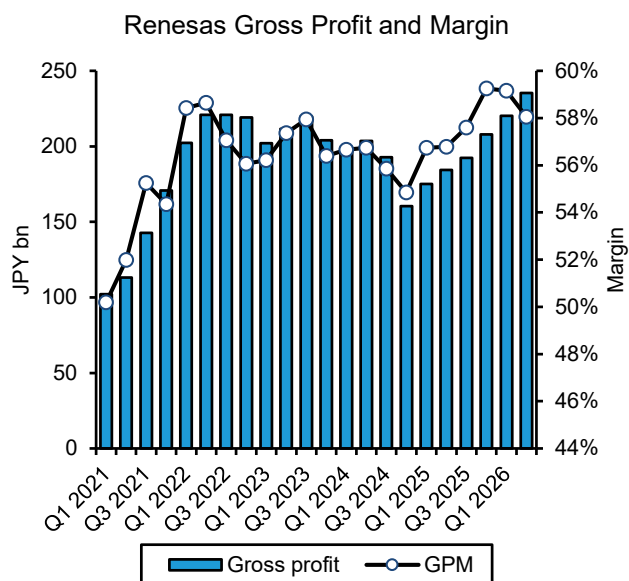
EXHIBIT 4: Renesas: Changes of Estimates

Renesas: summary of estimate changes	2025	Q1 2026	Q2 2026	Q3 2026E	Q4 2026E	2026E	2027E	2028E
Revenue (JPY bn)								
Bernstein - Old	1,318.5	372.3	389.7	401.1	400.5	1,563.7	1,823.1	2,080.9
Growth YoY	-2.2%	20.6%	20.0%	20.0%	14.1%	18.6%	16.6%	14.1%
Bernstein - New				437.5	438.9	1,654.0	1,913.9	2,164.8
Growth YoY				30.9%	25.1%	25.4%	15.7%	13.1%
Consensus				412.0	416.3	1,561.3	1,726.2	1,907.9
Growth YoY				23.3%	18.6%	18.4%	10.6%	10.5%
New vs. old				9.1%	9.6%	5.8%	5.0%	4.0%
Bernstein vs. consensus				6.2%	5.4%	5.9%	10.9%	13.5%
Non-GAAP gross profit (JPY bn)								
Bernstein - Old	759.9	220.3	223.0	231.5	232.9	907.7	1,068.8	1,226.7
Growth YoY	0.5%	25.7%	21.0%	20.3%	12.0%	19.4%	17.7%	14.8%
Margin	57.6%	59.2%	57.2%	57.7%	58.2%	58.0%	58.6%	58.9%
Bernstein - New				253.4	256.1	965.1	1,122.8	1,278.1
Growth YoY				31.7%	23.2%	27.0%	16.3%	13.8%
Margin				57.9%	58.4%	58.3%	58.7%	59.0%
Consensus				232.8	232.5	926.4	1,049.7	1,165.0
Growth YoY				21.0%	11.8%	21.9%	13.3%	11.0%
Margin				56.5%	55.8%	59.3%	60.8%	61.1%
New vs. old				9.5%	10.0%	6.3%	5.1%	4.2%
Bernstein vs. consensus				8.8%	10.2%	4.2%	7.0%	9.7%
Non-GAAP operating profit (JPY bn)								
Bernstein - Old	386.8	125.4	115.2	126.2	132.6	499.5	624.6	767.8
Growth YoY	-2.8%	49.7%	25.4%	22.3%	22.8%	29.1%	25.1%	22.9%
Margin	29.3%	33.7%	29.6%	31.5%	33.1%	31.9%	34.3%	36.9%
Bernstein - New				144.3	145.0	547.4	646.2	788.5
Growth YoY				39.8%	34.3%	41.5%	18.0%	22.0%
Margin				33.0%	33.0%	33.1%	33.8%	36.4%
Consensus				130.2	133.8	518.1	609.4	690.6
Growth YoY				26.2%	23.9%	33.9%	17.6%	13.3%
Margin				35.0%	34.8%	33.2%	35.3%	36.2%
New vs. old				14.3%	9.4%	9.6%	3.4%	2.7%
Bernstein vs. consensus				10.8%	8.4%	5.7%	6.0%	14.2%
Non-GAAP Basic EPS (JPY)								
Bernstein - Old	181.6	56.8	57.9	63.4	66.6	244.8	298.5	366.6
Growth YoY	-9.6%	39.1%	34.4%	30.2%	34.1%	34.8%	22.0%	22.8%
Bernstein - New				70.4	70.9	261.4	302.6	372.0
Growth YoY				44.6%	42.8%	43.9%	15.8%	22.9%
Consensus				67.4	68.5	261.1	279.6	323.6
Growth YoY				38.4%	38.0%	43.8%	7.1%	15.7%
New vs. old				11.0%	6.5%	6.8%	1.4%	1.5%
Bernstein vs. consensus				4.5%	3.5%	0.1%	8.2%	15.0%

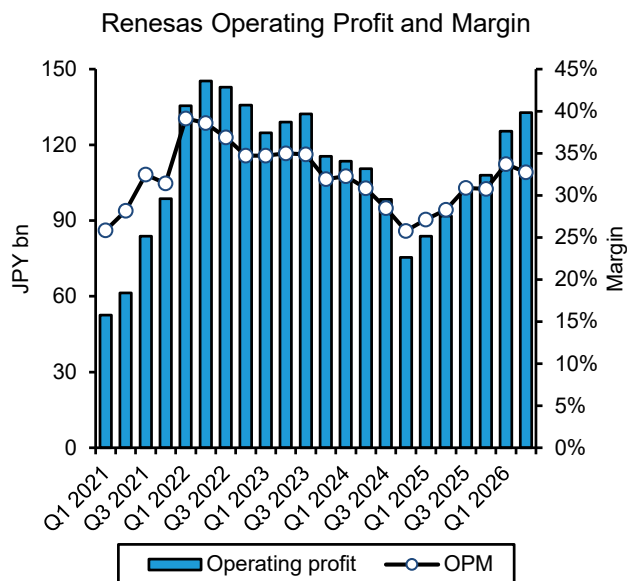
Source: Company disclosures, Bloomberg, Bernstein estimates and analysis.

2Q26 EARNINGS SUMMARY IN CHARTS**EXHIBIT 5: Q2 revenue grew 25% YoY to JPY405bn.**

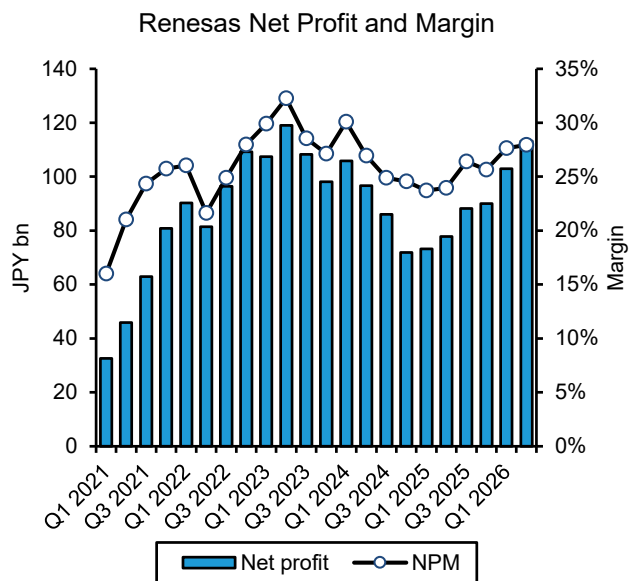
Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 6: Q2 GP grew 28% YoY to JPY235bn, with GPMshrinking to 58.1%.

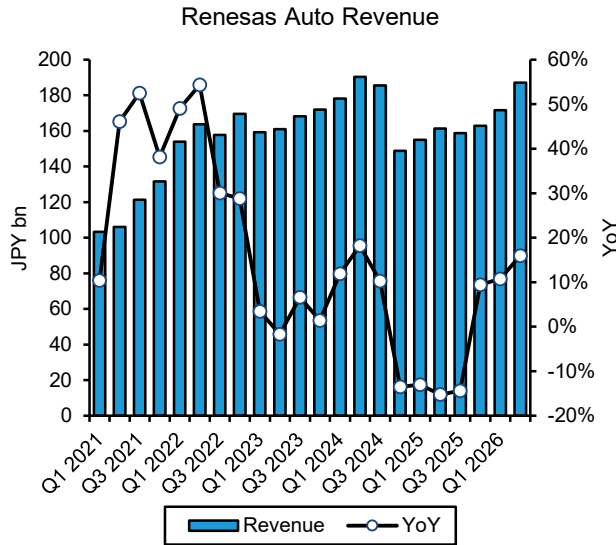
Source: Company reports, Bernstein analysis

EXHIBIT 7: Q2 OP grew 44% YoY to JPY133bn, with OPMshrinking to 32.7%.

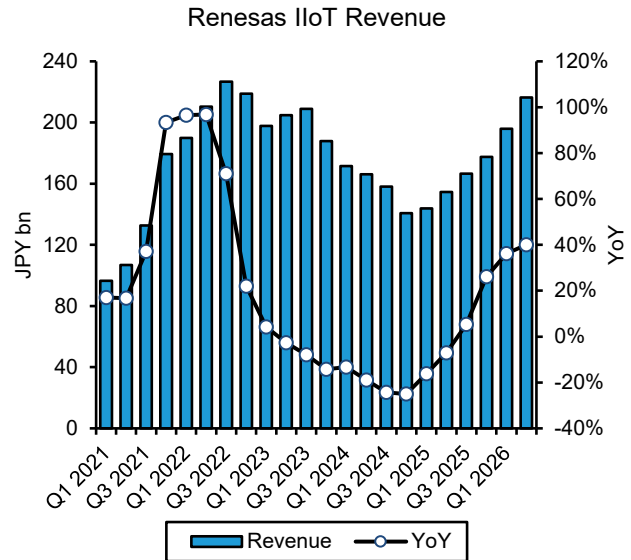
Source: Company reports, Bernstein analysis

EXHIBIT 8: Q2 NP grew 46% YoY to JPY113bn, with NPMexpanding to 28.0%.

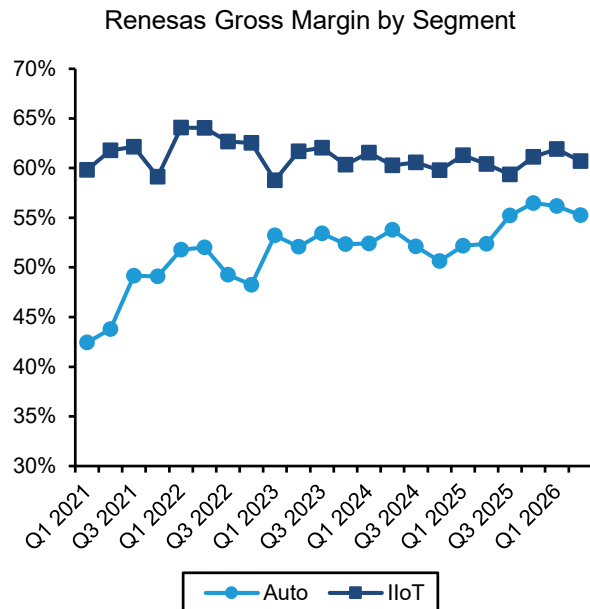
Source: Company reports, Bernstein analysis

EXHIBIT 9: **Q2 Automotive revenue grew by 16% YoY.**

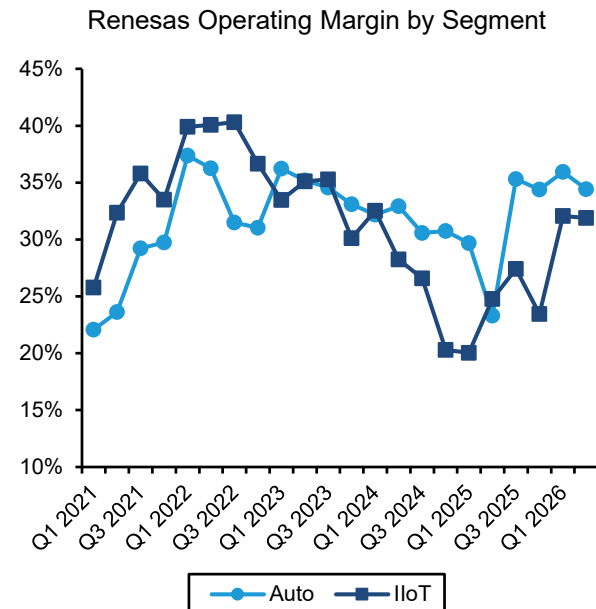
Source: Company reports, Bernstein analysis

EXHIBIT 10: **Q2 IIoT revenue grew by 40% YoY.**

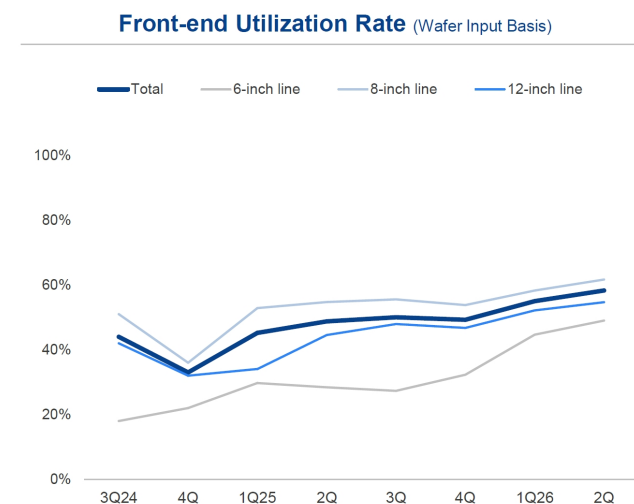
Source: Company reports, Bernstein analysis

EXHIBIT 11: **Gross Margin: Both Auto and IIoT contracted QoQ in Q2.**

Source: Company reports, Bernstein analysis

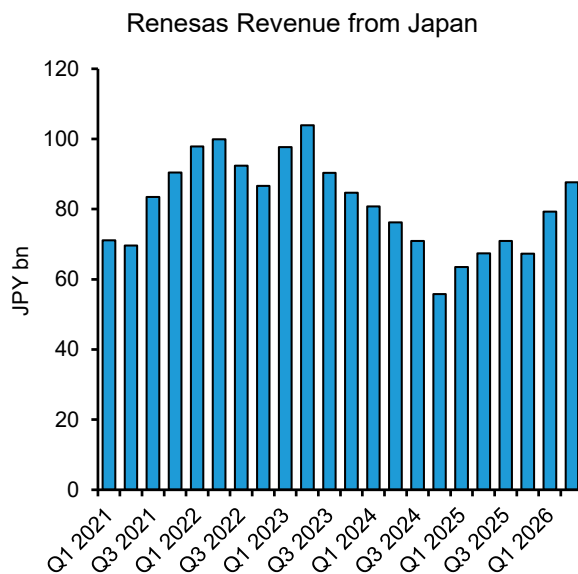
EXHIBIT 12: **Operating Margin: Both Auto and IIoT contracted QoQ in Q2.**

Source: Company reports, Bernstein analysis

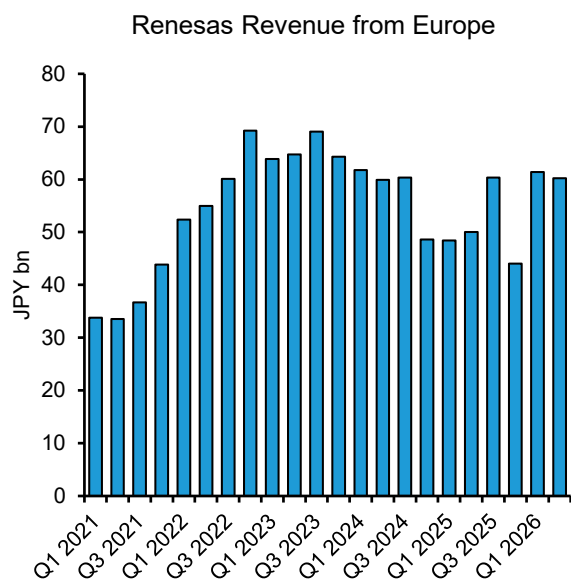
EXHIBIT 13: **Renesas' front-end utilization continued to improve in 2Q26.**

Excluding former Intersil and former Transphorm

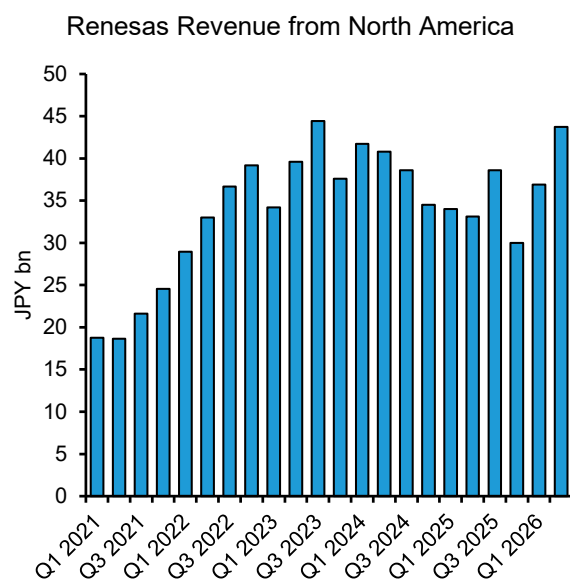
Source: Renesas

EXHIBIT 14: **Renesas revenue from Japan**

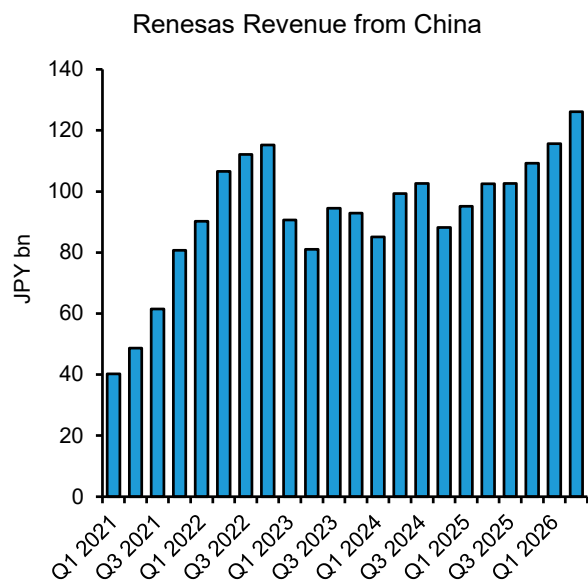
Source: Company reports, Bernstein analysis

EXHIBIT 15: **Renesas Revenue from Europe**

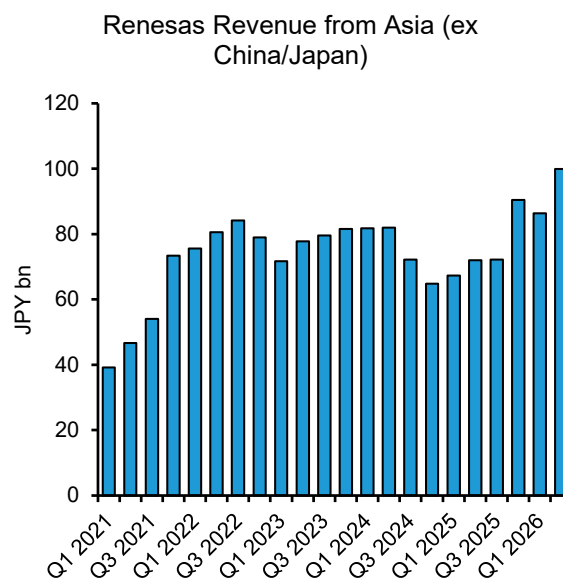
Source: Company reports, Bernstein analysis

EXHIBIT 16: **Renesas revenue from North America**

Source: Company reports, Bernstein analysis

EXHIBIT 17: **Renesas revenue from China**

Source: Company reports, Bernstein analysis

EXHIBIT 18: **Renesas revenue from Asia ex. China and Japan**

Source: Company reports, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 19: Renesas: Income statment

JPY bn	2025	F1Q26	F2Q26	F3Q26E	F4Q26E	2026E	2027E	2028E
Revenue	1,318.5	372.3	405.3	437.5	438.9	1,654.0	1,913.9	2,164.8
Non-GAAP Gross profit	759.9	220.3	235.3	253.4	256.1	965.1	1,122.8	1,278.1
SG&A	154.8	40.3	44.5	45.7	47.4	178.0	208.7	197.3
R&D	218.2	54.5	58.1	63.4	63.6	239.7	267.9	292.2
Non-GAAP Operating profit	386.8	125.4	132.7	144.3	145.0	547.4	646.2	788.5
D&A	188.6	47.4	46.8	48.8	52.1	195.0	196.5	186.8
Non-GAAP EBITDA	464.1	146.2	154.3	193.0	197.1	690.6	842.7	975.3
Non-operating income	3.5	-6.0	68.2	72.5	72.7	207.3	57.4	70.4
Pretax Income	390.4	119.4	200.9	216.7	217.7	754.7	703.6	858.9
Income tax expense	21.4	16.3	20.9	21.7	21.8	80.6	112.6	137.4
Net income before minority interest	329.4	103.0	113.5	128.6	129.5	474.6	549.4	675.1
Non-GAAP Net Income	329.3	102.9	113.3	128.4	129.3	473.9	548.7	674.4
Non-GAAP EPS (JPY)	181.6	56.8	62.1	70.4	70.9	261.4	302.6	372.0
Margins								
Gross profit	57.6%	59.2%	58.1%	57.9%	58.4%	58.3%	58.7%	59.0%
Operating profit	29.3%	33.7%	32.7%	33.0%	33.0%	33.1%	33.8%	36.4%
EBITDA	35.2%	39.3%	38.1%	44.1%	44.9%	41.8%	44.0%	45.1%
Profit before tax	29.6%	32.1%	49.6%	49.5%	49.6%	45.6%	36.8%	39.7%
Net income	25.0%	27.6%	28.0%	29.3%	29.5%	28.6%	28.7%	31.2%
Growth (Adjusted Figures) YoY								
Revenue	-2.2%	20.6%	24.8%	30.9%	25.1%	25.4%	15.7%	13.1%
Operating profit	-2.8%	49.7%	44.5%	39.8%	34.3%	41.5%	18.0%	22.0%
EBITDA	-4.6%	41.2%	40.0%	57.5%	54.2%	48.8%	22.0%	15.7%
Net income	-8.6%	40.5%	45.6%	45.5%	43.6%	43.9%	15.8%	22.9%
Basic EPS	-9.6%	39.1%	44.3%	44.6%	42.8%	43.9%	15.8%	22.9%

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 20: Renesas: Balance Sheet

JPY bn	2023	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	434.7	229.2	295.9	443.2	618.5	1,160.8
Accounts receivable	160.2	167.1	169.1	241.1	224.5	241.4
Inventories	163.1	176.5	185.9	230.6	241.6	258.0
Other current assets	42.8	44.4	72.6	411.1	411.1	411.1
Total current assets	800.7	617.3	723.6	1,326.0	1,495.7	2,071.3
Property, plant and equipment, net	266.1	341.4	355.8	396.8	456.3	482.4
Long-term investments	0.0	0.3	0.8	1.0	1.0	1.0
Other non-current assets	316.2	550.4	264.3	422.5	422.5	422.5
Total assets	3,167.0	4,490.4	4,177.2	4,647.7	4,992.1	5,521.5
Accounts payable and accrued expenses	284.6	237.0	243.5	297.6	323.2	349.2
ST Debt and Lease Obligations	425.3	144.1	242.5	247.8	247.8	147.8
Other current liabilities	118.8	110.3	130.4	131.9	131.9	131.9
Total current liabilities	828.7	491.4	616.4	677.3	702.9	628.9
LT Debt and Lease Obligations	225.6	1,256.5	964.1	710.1	310.1	310.1
Other non-current liabilities	107.1	200.2	148.2	143.5	143.5	143.5
Total liabilities	1,161.4	1,948.1	1,728.7	1,530.8	1,156.5	1,082.5
Shareholders' equity	2,005.6	2,542.3	2,448.5	3,116.9	3,835.6	4,439.0
Total liabilities & shareholders' equity	3,167.0	4,490.4	4,177.2	4,647.7	4,992.1	5,521.5

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 21: **Renesas: Cash Flow Statement**

JPY bn	2023	2024	2025	2026E	2027E	2028E
Net Income	433.2	360.7	329.4	474.6	549.4	675.1
D&A	186.0	210.7	188.6	195.0	196.5	186.8
Changes in working capital	30.7	14.9	-64.9	-404.4	31.3	-7.3
Other adjustments	-153.2	-245.9	-0.2	322.1	0.0	0.0
Cash flow from operations	496.6	340.5	452.9	587.2	777.2	854.6
Capex	-127.3	-169.8	-133.8	-132.3	-143.5	-140.7
Other	-140.1	-1,114.3	3.8	-6.9	0.0	0.0
Cash flow from investments	-267.5	-1,284.1	-124.7	-138.8	-143.5	-140.7
Cash flow from financing	-181.2	883.9	269.7	-150.0	-458.3	-171.7
Net effect of exchange rate changes	50.7	151.1	63.9	18.4	0.0	0.0
Net change in cash	98.6	-87.2	169.9	203.8	175.3	542.3

Source: Company reports, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	31 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
6723.JP (Renesas)	O	JPY	3,442.00	6,300.00	49.1%	JPY	181.61	261.36	302.64	19.0	13.2	11.4
OLD								244.76	298.54			
JPL			2,603.61									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Renesas Electronics Corp**

We set a ¥6,300 target price implying a P/E multiple of 19x against our forward Q5-Q8 EPS estimate of ¥337.

RISKS**Renesas Electronics Corp**

There are a number of downside risks to our Renesas target price: (1) Prolonged delay in the Analog market recovery (2) Weaker-than-expected market share gain in both Automotive MCU and AI power markets (3) Exchange rate fluctuation with upside / downside risk to overall Japan market.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

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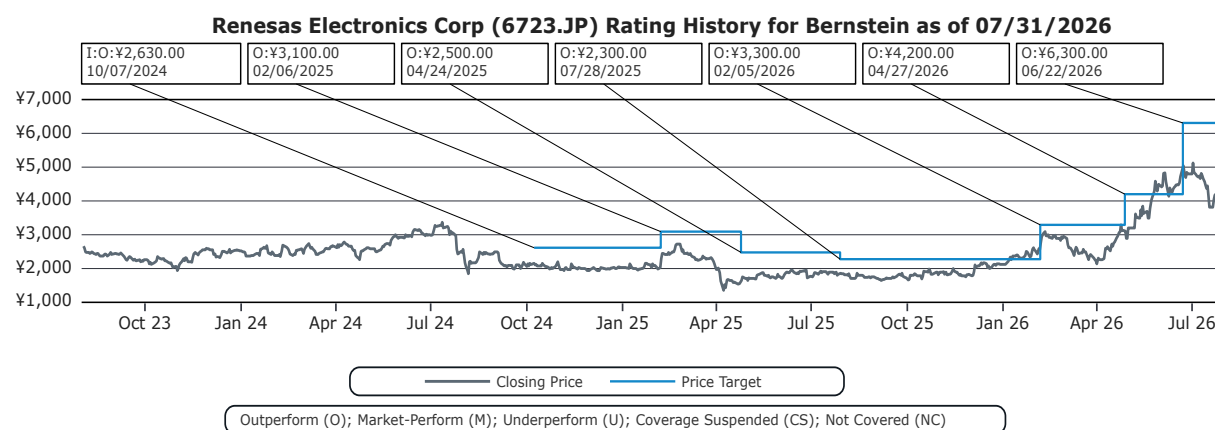
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